

Corporate Sales & Profit Performance Analysis

RevoShion

BUSINESS BACKGROUND

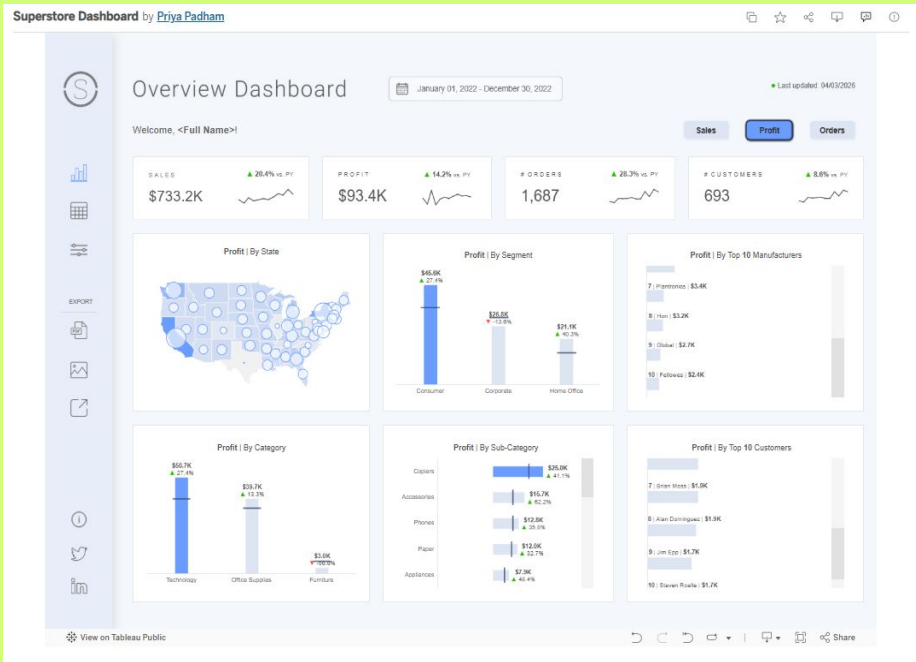
RevoShion is an e-commerce company that experienced **20.4% growth in total sales** in the latest period, indicating strong overall business performance. However, within the **corporate segment**, profit **declined by 13.6% despite an increase in sales** during the same period.

This discrepancy between rising sales and declining profit suggests **potential margin pressure** or cost inefficiencies within the corporate business.

Management is concerned that if this issue continues, it could affect the company's **profitability and long-term corporate client strategy**.

As a Data Analyst, the objective is to **identify the key drivers behind this performance gap and provide data-driven recommendations to improve profitability in the corporate segment**.

DISCLAIMER !!



[Tableau Public Dashboard - Overview Dashboard](#)

- ❏ This analysis is based on a publicly available dataset and does not reflect real-world financial or business insights.
- ❏ RevoShion is a fictional entity, and the results presented here are purely for educational purposes.

STAKEHOLDER IDENTIFICATION

D **Decider** : CEO

A **Accountable** : Head of Sales

R **Responsible** : Data Analyst

C **Consulted** : Sales Team, Marketing Team, Finance Team

I **Informed** : Operation Team, Support Team

PROBLEM STATEMENT

How can RevoShion recover the 13.6% profit decline in the Corporate segment within the next two quarters despite rising sales?

Specific - recover Corporate segment profit

Measurable - 13.6% profit decline

Achievable - realistic recovery target

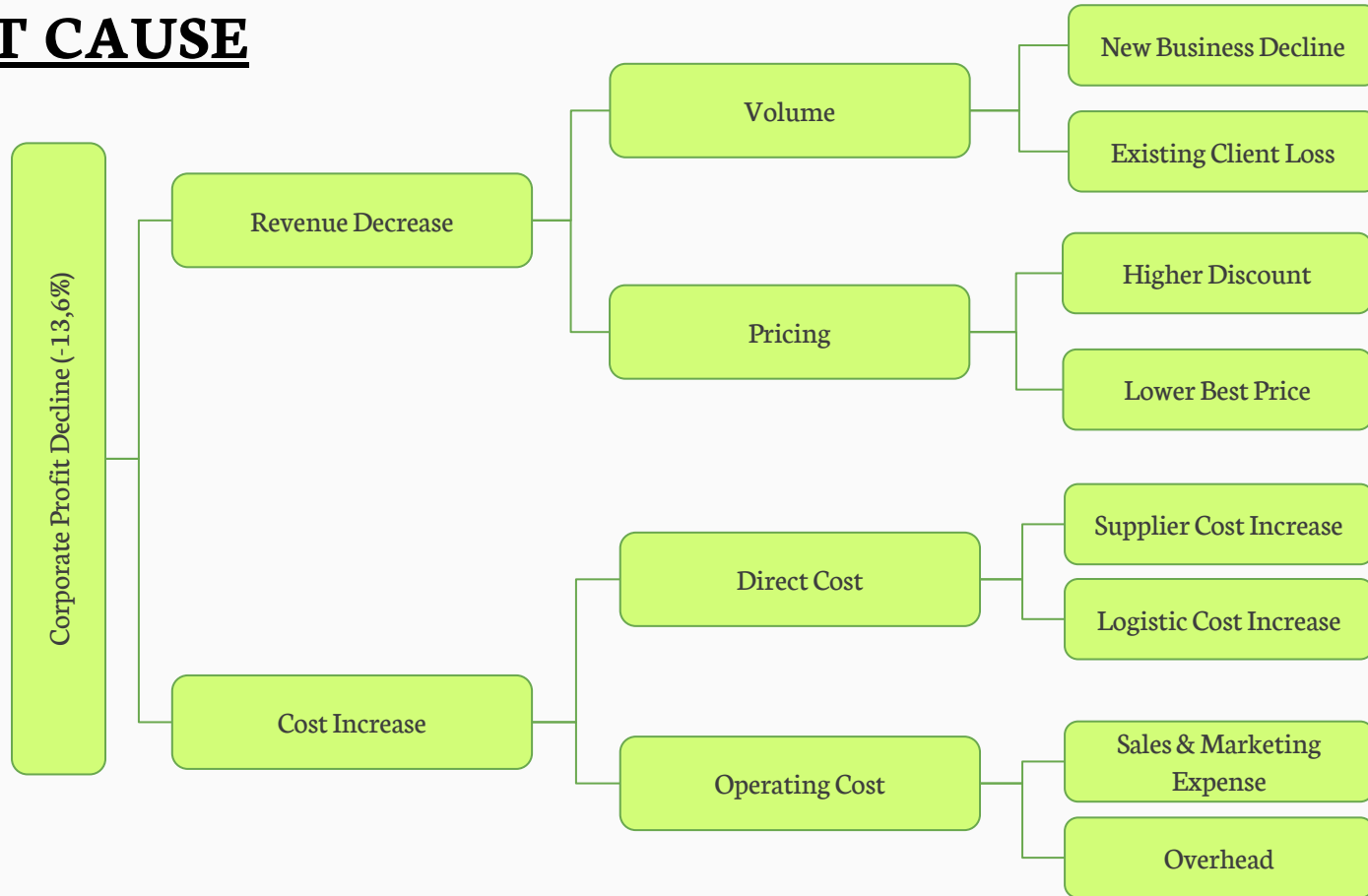
Relevant - profitability gap

Time-bound - within two quarters

OBJECTIVE

Identify the top 3 root causes behind the 13.6% profit decline in the Corporate segment by analyzing revenue and cost drivers from the latest dashboard, and propose 3 data-driven initiatives to increase profit by at least 13.6% within the next two quarters.

ROOT CAUSE



HYPOTHESIS, METRICS, PRIORITIZATION

Issue Branch	Possible Root Cause	Hypothesis	Prioritization	Metrics	Metrics Reasoning
Revenue Decrease	Low Business Decline	The decline in new corporate client acquisition reduced overall sales volume and profit contribution.	Medium - New business drives growth. If this drops, revenue shrinks immediately.	- Number of new clients. - Revenue from new clients - Win rate	An increase in average discount rate combined with stable sales volume indicates margin compression driven by pricing strategy.
	Existing Client Loss	Revenue decline is driven by churn or reduced transaction value from existing high-value clients.	Medium - Existing clients typically contribute the majority of revenue and margin.	- Retention rate - Churn rate - Revenue per client - Purchase frequency	Retention rate and revenue concentration reflect stability of the revenue base. A decline in these metrics signals loss of recurring profit contribution.
	Higher Discount	Increased average discount rate reduced gross margin despite stable sales volume.	High - Immediate and measurable impact on margin performance.	- Average discount rate - Gross margin - Net selling price trend - Discount distribution by deal	Average discount rate has a direct negative correlation with gross margin. Increasing discounts compress profitability even when revenue volume remains stable.
	Lower Best Price	Lower minimum selling price compressed margin across transactions.	High - Requires deeper segmentation analysis to assess materiality.	- Average selling price (ASP) trend - Margin per unit - Price variance vs list price	Average selling price and margin per unit determine contribution margin. A structural decline in price reduces profitability unless offset by significant volume growth.

HYPOTHESIS, METRICS, PRIORITIZATION

Issue Branch	Possible Root Cause	Hypothesis	Prioritization	Metrics	Metrics Reasoning
Cost Increase	Supplier Cost Increase	Higher supplier prices increased COGS and reduced gross profit.	High - Direct structural impact on gross margin.	- COGS per unit - Supplier price trend - Gross margin - Cost-to-revenue ratio	COGS growth directly reduces gross margin. An increase in supplier pricing increases cost per unit and lowers overall profitability.
	Logistic Cost Increase	Higher logistics cost per order reduced contribution margin.	High - Impact depends on logistics share in total direct cost.	- Logistics cost per order - Delivery cost ratio - Direct cost breakdown	Logistics cost per order directly impacts unit economics. An increase in distribution expense lowers contribution margin even with stable sales volume.
	Sales & Marketing Expense	Sales and marketing expenses increased without proportional revenue growth.	Medium - Impacts operating margin rather than gross margin.	- Sales & marketing expense trend - Marketing ROI - Cost per acquisition (CPA) - Revenue per sales head	Sales and marketing expense should scale proportionally with revenue growth. Rising acquisition cost and declining ROI indicate operating inefficiency.
	Overhead	Increase in fixed overhead reduced operating margin.	Low - Gradual but cumulative impact on bottom-line performance.	- Operating expense ratio - Overhead growth rate - Net margin - Revenue-to-overhead ratio	Overhead growth exceeding revenue growth deteriorates operating leverage and reduces net profitability.

KEY INSIGHT SUMMARY

Role	Stakeholders
Total sales increased by +20.4% compared to the previous year.	This indicates strong overall business growth and increasing demand across RevoShion's product offerings.
Total orders increased by +28.3% during 2022.	The growth in order volume contributes to revenue expansion but may also increase operational and fulfillment costs.
Overall profit increased by +14.2%, growing slower than sales.	The slower growth in profit compared to sales suggests potential margin pressure within certain business segments.
Corporate segment profit declined by -13.6% despite increasing sales.	This signals a profitability issue within the corporate segment that requires investigation into pricing strategy and cost structure.
Technology recorded the highest sales among product categories	This category is a major contributor to revenue and plays an important role in overall sales performance.

RECOMMENDATION - OBIPR

Category	Business Impact	Isolation (Focusing Area)	Prioritization	Recommendation
Pricing - Higher Discount	Sales in the corporate segment increased, but higher discounts may be reducing the profit margin and contributing to the 13.6% profit decline.	Discount levels for corporate customers appear relatively high compared to other segments.	High - Directly affects profit margin and can be checked quickly from discount data.	Review the current discount policy for corporate clients. Set clearer discount limits or approval rules so discounts don't reduce margins too much.
Pricing - Lower Best Price	Lower selling prices for corporate customers reduce profit per order even though sales volume is increasing.	Some corporate transactions may be priced lower due to negotiation or competitive pressure.	High - Strong impact on margin and overall profitability.	Reevaluate pricing for corporate customers by looking at margin targets and competitor pricing. Consider setting a minimum margin for large corporate deals.
Cost - Supplier Cost Increase	Increasing supplier costs raise COGS, which can reduce profit even when sales continue to grow.	Some products may have higher supplier costs that were not followed by price adjustments.	High - Large cost component that directly affects profitability.	Review supplier contracts and evaluate alternative suppliers if needed. Also consider adjusting product pricing if supplier costs continue to increase.

CONCLUSION

Key Takeaways

Top Root Causes :

1. Higher discount given to corporate clients reduces the profit margin even though sales are increasing.
2. Lower selling prices in some corporate deals result in lower profit per order.
3. Increasing supplier costs lead to higher COGS and reduce overall profitability.

Recommendation by Prioritization

Highlights :

1. Review and control the discount policy for corporate clients to maintain healthy margins.
2. Reevaluate the pricing strategy and set a minimum margin for corporate transactions.
3. Review supplier contracts and explore alternative suppliers to manage rising costs.

Business Impact Statement :

By improving discount control, reviewing the current pricing strategy, and managing supplier costs more efficiently, RevoShion can address the profit decline in the corporate segment and gradually restore healthy profit growth within the next two quarters while maintaining stable sales growth.

Thank you!
